

GA1025 Macro Theory

Solution to Problem Set 3

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Problem 1.1

The sequence problem of the Cass-Koopmans model is given by

$$\begin{aligned} V^*(k_0) &= \max_{\{k_{t+1}\}_0^\infty} \sum_{t=0}^{\infty} \beta^t \frac{c_t^{1-\gamma} - 1}{1-\gamma} \\ \text{subject to } & k_{t+1} = (1-\delta)k_t + Ak_t^\alpha - c_t \\ & k_0 \text{ is given} \end{aligned}$$

After substituting the resource constraints, we have

$$V^*(k_0) = \max_{\{k_{t+1}\}_0^\infty} \sum_{t=0}^{\infty} \beta^t \frac{((1-\delta)k_t + Ak_t^\alpha - k_{t+1})^{1-\gamma} - 1}{1-\gamma}$$

Take the derivative w.r.t. k_{t+1} , we have

$$\beta^t \left[(1-\delta)k_t + Ak_t^\alpha - k_{t+1} \right]^{-\gamma} (-1) + \beta^{t+1} \left[(1-\delta)k_{t+1} + Ak_{t+1}^\alpha - k_{t+2} \right]^{-\gamma} \left(1 - \delta + A\alpha k_{t+1}^{\alpha-1} \right) = 0$$

After simplification, we have

$$\left[(1-\delta)k_t + Ak_t^\alpha - k_{t+1} \right]^{-\gamma} = \beta \left[(1-\delta)k_{t+1} + Ak_{t+1}^\alpha - k_{t+2} \right]^{-\gamma} \left(1 - \delta + A\alpha k_{t+1}^{\alpha-1} \right)$$

In the steady state, $k_t = k_{t+1} = k_{t+2} = \bar{k}$, as a result, we can compute the ss $\bar{k}$ as follows.

$$\bar{k} = \left(\frac{1 - \beta + \delta\beta}{A\alpha\beta} \right)^{\frac{1}{\alpha-1}}$$

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After substituting c_t back to the Euler equation, we have

$$c_t^{-\gamma} = \beta(1 - \delta + A\alpha k_{t+1}^{\alpha-1})c_{t+1}^{-\gamma}$$

The equation above implies the behavior of consumption smoothing, where the agent equalizes the marginal utility of spending today (LHS) and the marginal utility of spending tomorrow (RHS).

Problem 1.2

The FE formulation of the Cass-Koopmans model is given by

$$\begin{aligned} V(k) &= \max_{k' \in \Gamma(k)} \frac{c^{1-\gamma} - 1}{1 - \gamma} + \beta V(k') \\ \text{subject to} \quad k' &= (1 - \delta)k + Ak^\alpha - c \end{aligned}$$

Shooting Algorithm

Problem 1.10

The objective function for the sequence problem in the adjustment model is given by

$$V^*(x_0) = \max_{\{x_{t+1}\}_0^\infty \in \mathbb{R}} \sum_{t=0}^{\infty} \beta^t \left[-\frac{\phi}{2} x_{t+1}^2 - \frac{\kappa}{2} (x_{t+1} - x_t)^2 \right]$$

Take the first-order condition with respect to x_{t+1} , we have

$$\beta^t [-\phi x_{t+1} - \kappa(x_{t+1} - x_t)] + \beta^{t+1} \kappa(x_{t+2} - x_{t+1}) = 0$$

After simplification, we have

$$\beta \kappa(x_{t+2} - x_{t+1}) = \phi x_{t+1} + \kappa(x_{t+1} - x_t) \tag{0.1}$$

According to the Definition, the transversality condition is given by

$$\lim_{t \rightarrow \infty} \beta^t \kappa(x_{t+1} - x_t) x_t = 0$$

Answer to Question 1.11

From equation (0.1), the characteristic function is given by

$$m^2 - \left(\frac{\phi + \kappa}{\beta \kappa} + 1 \right) m + \frac{1}{\beta} = 0$$

It follows that the roots are

$$m_{1,2} = \frac{\left(\frac{\phi+\kappa}{\beta\kappa} + 1\right) \pm \sqrt{\left(\frac{\phi+\kappa}{\beta\kappa} + 1\right)^2 - \frac{4}{\beta}}}{2}$$

As a result, $m_1 \cdot m_2 = \frac{1}{\beta}$.

Answer to Question 1.12

Therefore, the general solution to the problem is given by

$$x_t = A \left(\frac{\left(\frac{\phi+\kappa}{\beta\kappa} + 1\right) - \sqrt{\left(\frac{\phi+\kappa}{\beta\kappa} + 1\right)^2 - \frac{4}{\beta}}}{2} \right)^t + B \left(\frac{\left(\frac{\phi+\kappa}{\beta\kappa} + 1\right) + \sqrt{\left(\frac{\phi+\kappa}{\beta\kappa} + 1\right)^2 - \frac{4}{\beta}}}{2} \right)^t$$

Let $m_1 < m_2$, since $m_1 \cdot m_2 = \frac{1}{\beta}$, we have

$$\begin{aligned} m_1 &< \frac{1}{\beta m_1} \\ \Rightarrow m_1 &< \beta^{-1/2} \quad \text{and} \quad m_2 > \beta^{-1/2} \end{aligned}$$

Then, we can express m_1 and m_2 as

$$\begin{aligned} m_1 &= \beta^{-1/2}\epsilon, \quad \epsilon \in (0, 1) \\ m_2 &= \beta^{-1/2}\delta, \quad \delta > 1 \end{aligned}$$

Substituting x_t with $A(\beta^{-1/2}\epsilon)^t + B(\beta^{-1/2}\delta)^t$, the Transversality condition becomes

$$\begin{aligned} \lim_{t \rightarrow \infty} \beta^t \left[A(\beta^{-1/2}\epsilon)^{t+1} + B(\beta^{-1/2}\delta)^{t+1} - A(\beta^{-1/2}\epsilon)^t - B(\beta^{-1/2}\delta)^t \right] \cdot \left[A(\beta^{-1/2}\epsilon)^t + B(\beta^{-1/2}\delta)^t \right] = \\ \lim_{t \rightarrow \infty} \beta^t \left[A(\beta^{-1/2}\epsilon)^t (\beta^{-1/2}\epsilon - 1) + B(\beta^{-1/2}\delta)^t (\beta^{-1/2}\delta - 1) \right] \cdot \left[A(\beta^{-1/2}\epsilon)^t + B(\beta^{-1/2}\delta)^t \right] \leq \\ \lim_{t \rightarrow \infty} A^2 \epsilon^{2t} (\beta^{-1/2}\epsilon - 1) + B^2 \delta^{2t} (\beta^{-1/2}\delta - 1) \end{aligned}$$

Because $\delta > 1$, $\delta^{2t} \rightarrow \infty$, therefore, this equation converges to zero if $B = 0$, where B is the coefficient of the larger root.

Answer to Question 1.13

Answer to Question 1.14

Take the first-order condition with respect to κ for x_t , we have

$$\frac{\partial x_t}{\partial \kappa} =$$

and

$$\frac{\partial x_t}{\partial \phi} =$$

Guess and Verify

Answer to Question 1.15

Incorporating the budget constraint, we can rewrite the model as follows.

$$\max_{k_{t+1} \in \Gamma(k_t)} \sum_{t=0}^{\infty} \beta^t U(G(k_t) + (1 - \delta)k_t - k_{t+1})$$

$$\text{where } \Gamma(k_t) = [0, G(k_t) + (1 - \delta)k_t]$$

Therefore, the Bellman equation is given by

$$V(k) = \max_{k'} U(G(k) + (1 - \delta)k - k') + \beta V(k')$$

Answer to Question 1.16

If $U(c) = \log(c)$, $G(k) = k^\alpha$, and $\delta = 1$, and we “guess” the value function is $V(k) = a + b \log k$, the Bellman equation formulated above becomes

$$a + b \log k = \max_{k'} \log(k^\alpha - k') + \beta(a + b \log k')$$

Then,

$$[k'] = -\frac{1}{k^\alpha - k'} + \beta \frac{b}{k'} = 0$$

As a result, the policy function is

$$k' = \frac{\beta b k^\alpha}{1 + \beta b}$$

Substituting $k' = \frac{\beta b k^\alpha}{1 + \beta b}$ back to the Bellman equation, we have

$$a + b \log k = \log \left(k^\alpha - \frac{\beta b k^\alpha}{1 + \beta b} \right) + \beta a + \beta \log \left(\frac{\beta b k^\alpha}{1 + \beta b} \right)$$

By comparing coefficients, we have

$$b = \frac{\alpha}{1 - \alpha\beta}$$

$$a = \frac{1}{1 - \beta} \left[\frac{1}{1 - \alpha\beta} \log(1 - \alpha\beta) + \frac{\alpha\beta}{1 - \alpha\beta} \log \frac{\alpha\beta}{1 - \alpha\beta} \right]$$

Answer to Question 1.17

I verify the analytical solutions above by comparing them to the numerical solutions obtained from the VFI. The figures below display the comparisons.

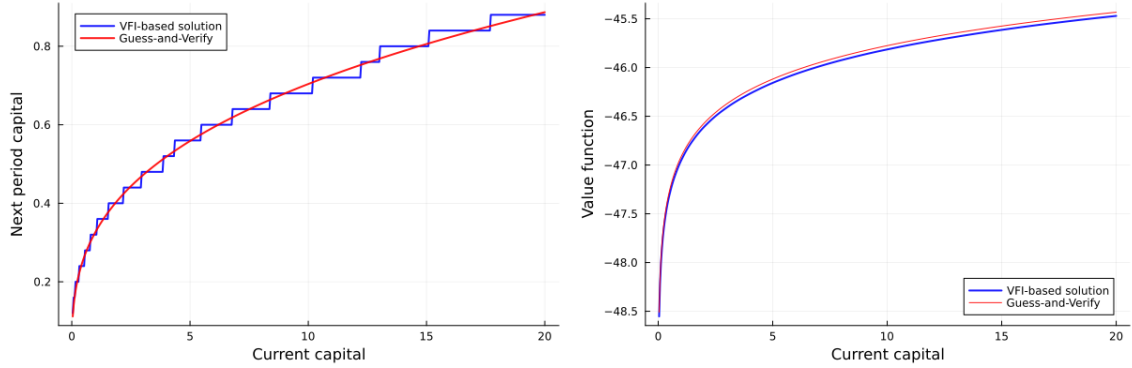


Figure 0.1: Guess-and-Verify

2. Probability Theory

Exercise 2.1

In a stochastic environment of a fair dice, the filtered probability space is given by

- $\Omega := \{1, 2, 3, 4, 5, 6\}^\infty$ denotes the sample space.
- $\mathcal{F} := 2^\Omega$
- $\{\mathcal{F}_t\}_t^\infty$ is defined as follows:

$$\mathcal{F}_1 = 2^{\{1,2,3,4,5,6\}}$$

...

$$\mathcal{F}_t = 2^{\{1,2,3,4,5,6\}^t}$$

...

$$\mathcal{F}_\infty = 2^{\{1,2,3,4,5,6\}^\infty}$$

with $\mathcal{F}_t \subseteq \mathcal{F}_{t+s}$ for any $s \geq 0$. Economically, $\mathcal{F}_t$ contains the information up to time t .

- $P = \frac{1}{2^\infty}$

Exercise 2.2

Q1. The sample space is given by $\Omega = \{H, T\}^T$. The sample space contains 2^T elements.

Q2. The sigma-algebra is given by $\mathcal{F} = \{\emptyset, \{H\}, \{T\}, \{H, T\}\}^T$.

Q3. Take $T = 4$, and $s^2 = \{H, T\}$, $F(s^t)$ includes the following

1. (H, T, H, H)
2. (H, T, H, T)
3. (H, T, T, T)
4. (H, T, T, H)

Q4. Note that for a fixed partial path s^t , there are 2^{T-t} possibilities. Therefore, the probability measure P representing fair iid coin flips is given by

$$P(s^T) = \frac{1}{2^T}$$

$$P(F(s^t)) = \frac{2^{T-t}}{2^T} = \frac{1}{2^t}$$

Q5. For $T = 3$,

$$\mathcal{F}_0 = \{\emptyset, \{H\}, \{T\}, \{H, T\}\}$$

$$\begin{aligned}
\mathcal{F}_1 = & \{\emptyset, \\
& \{(H, H)\}, \{(H, T)\}, \{(T, H)\}, \{(T, T)\}, \\
& \{(H, H), (H, T)\}, \\
& \{(H, H), (T, H)\}, \\
& \{(H, H), (T, T)\}, \\
& \{(H, T), (T, H)\}, \\
& \{(H, T), (T, T)\}, \\
& \{(T, H), (T, T)\}, \\
& \{(H, H), (H, T), (T, H)\}, \\
& \{(H, H), (H, T), (T, T)\}, \\
& \{(H, H), (T, H), (T, T)\}, \\
& \{(H, T), (T, H), (T, T)\}, \\
& \{(H, H), (H, T), (T, H), (T, T)\}\}
\end{aligned}$$

Q6. Consider two paths that share the same partial histories up to time t . Intuitively, their information overlap with each other. Therefore, we cannot assign probability to only one of them, instead, we need to partition the s^∞ based on their partial histories F_t , and assign probabilities according to F_t .

Q7.

1. The smallest σ -algebra $\mathcal{F}$ is $\{\emptyset, \Omega, \{s_0, s_1, H, s_3, \dots\}, \{s_0, s_1, T, s_3, \dots\}\}$
2. Denote $G_t := \{s_0, s_1, \dots : \sum_{i=1}^{10} s_i 1(s_i = H) = t\}$. Then

$$\mathcal{F} = \bigcup_{t=1}^{10} \{\emptyset, \Omega, 2^{G_t}\}$$

3. Denote $G'_t := \{s_0, s_1, \dots : \sum_{i < t} s_i 1(s_i = H) = 0\}$. Then

$$\mathcal{F} = \bigcup_t \{\emptyset, \Omega, 2^{G'_t}\}$$

Remark: The answers above does not depend on whether T is finite or infinite as long as $T > 10$ for the second question.

Q8.

1. $\mathbb{E}[x] = 1/2$. $\mathbb{E}[x|\mathcal{F}_1] = 1/2$. $\mathbb{E}[x|\mathcal{F}_2] = x$.

2. The unconditional and conditional expectations are given by

$$\begin{aligned}\mathbb{E}[x] &= \sum_{t=1}^{10} t \frac{\binom{10}{t}}{2^{10}} \\ \mathbb{E}[x|s_1 = H] &= \sum_{t=1}^{10} t \frac{\binom{9}{t-1}}{2^9} \\ \mathbb{E}[x|s_1 = T] &= \sum_{t=1}^9 t \frac{\binom{9}{t-1}}{2^9} \\ \mathbb{E}[x|s_1, s_2 = H, H] &= \sum_{t=2}^{10} t \frac{\binom{8}{t-2}}{2^8} \\ \mathbb{E}[x|s_1, s_2 = H, T] &= \sum_{t=1}^9 t \frac{\binom{8}{t-1}}{2^8} \\ \mathbb{E}[x|s_1, s_2 = T, H] &= \sum_{t=1}^9 t \frac{\binom{8}{t-1}}{2^8} \\ \mathbb{E}[x|s_1, s_2 = T, T] &= \sum_{t=1}^8 t \frac{\binom{8}{t-1}}{2^8}\end{aligned}$$

3. The unconditional and conditional expectations are given by

$$\begin{aligned}\mathbb{E}[x] &= \sum_{t=1}^{\infty} t \left(\frac{1}{2}\right)^t = 2 \\ \mathbb{E}[x|s_1 = H] &= 0 \\ \mathbb{E}[x|s_1 = T] &= \sum_{t=2}^{\infty} t \left(\frac{1}{2}\right)^{t-1} = 3 \\ \mathbb{E}[x|s_1, s_2 = H, H] &= 0 \\ \mathbb{E}[x|s_1, s_2 = H, T] &= 0 \\ \mathbb{E}[x|s_1, s_2 = T, H] &= 0 \\ \mathbb{E}[x|s_1, s_2 = T, T] &= 4\end{aligned}$$